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Lessons Learned: Alfred DelliBovi

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Yale Program on Financial Stability

Lessons Learned

Alfred DelliBovi

By Mary Anne Chute Lynch and Rosalind Z. Wiggins

The Yale Program on Financial Stability (YPFS) interviewed Alfred DelliBovi about his tenure as president and chief executive officer of the Federal Home Loan Bank of New York leading up to and during the Global Financial Crisis of 2007–09 (GFC). The Federal Home Loan Banks (FHLBs) played a critical and unexpected lending role for their member banks at the start of the crisis. DelliBovi remained in his position for 21 years, until 2014. Before moving to the FHLB, DelliBovi had served as deputy secretary at the United States Department of Housing and Urban Development (HUD) from 1989 to 1992, in the aftermath of the savings and loan (S&L) crisis. At the time of this interview, conducted on May 3, 2022, he was chairman of the board of Flushing Bank in New York; the full transcript of the interview may be found [here](#).

Prudent regulatory oversight and solid capital standards can help prevent bankruptcy and situations that lead to crises.

Alfred DelliBovi gained an intimate knowledge of several of the government's key housing finance entities working through various crises—the S&L crisis, the GFC, and the economic challenges of the COVID-19 crisis. These experiences led him to favor robust regulations as a starting point for avoiding a financial crisis. He emphasized, “You need good, solid regulation that's prudent and efficient, that safeguards the assets so that there is no need for a bailout.”

The Federal Home Loan Banks were created to serve as lender to the thrift industry. The regulations they followed were different from those for commercial banks, and the thrifts originally were limited in their operations. When the S&Ls ran into distress during the 1980s, Congress chose to deregulate the industry, but in a few years, the S&Ls were in crisis.

In 1989, Congress passed the Financial Institutions Reform, Recovery, and Enforcement Act, (FIRREA) to address the problem. While at HUD as its chief operating officer, DelliBovi oversaw much of the resolution and restructuring of the industry:

HUD would have a significant role to play in the S&L cleanup. First, there was going to be an oversight board created for the new Resolution Trust Corporation, the RTC. The secretary of HUD or his deputy would be a member of this oversight board. Second, HUD would continue to be the nominal regulator of [mortgage giants] Fannie Mae and Freddie Mac, and Freddie Mac was being fully privatized in this legislation. An interim board would be created for Freddie Mac, and the HUD secretary would be a member. Third, the legislation abolished the Home Loan Bank Board and replaced it with a new agency to regulate the Home Loan Banks, called the Federal Housing Finance Board [FHFB].

The new regulations led to the closure of 747 S&Ls with \$407 billion in assets, with many of these orchestrated by the RTC. The S&Ls that remained open had to adhere to stricter

operating rules and capital requirements, which fortified them for the GFC. Explained DelliBovi:

There were no problems with the savings and loans in 2008 and 2009. Most of the problem institutions were gone, and the remaining ones were healthy, well capitalized, and sound. The banking problems in 2008 and 2009 were a different set of problems and institutions than those in 1989. Many of those problems were housing related because Fannie Mae and Freddie Mac had failed.

Solid regulations helped stabilize another important component of the financial system, said DelliBovi: the FHLBs. The FHLBs provide liquidity—known as advances—to their members against the haircut-adjusted value of mortgage-related collateral and other government securities. They require their members to buy in (to purchase stock in one of the system banks), which provides the FHLBs with a capital base, he explained. The stock purchase commitment is based on the institution's holdings of mortgages and mortgage securities and its assets and then increases in accordance with its actual borrowings.

According to DelliBovi, this cushion helped the FHLBs weather the GFC. The best protection against bankruptcy is capital, he emphasized. He warned against allowing changes to the FHLB regulations that would permit members that did not buy in to take advances: "They need to have skin in the game. Anybody who wants to get into the Home Loan Bank System and doesn't have capital is going to jeopardize it."

In the spring of 2008, DelliBovi observed that markets were tightening, and it became more costly for the Federal Home Loan Banks to issue debt. The FHLBs were also experiencing a surge in demand as its 8,000 members, which were also experiencing market stresses, turned to the FHLBs as the so-called lender of next to last resort. Between June 2007 and September 2008, advances increased from \$640 billion to \$1 trillion.¹ The FHLBs were able to meet the huge increase in demand because of their capital reserves. DelliBovi noted:

The Home Loan Banks were engaged at that time in building up capital beyond the regulatory requirements, additional capital held as a cushion by prudent managers. The Home Loan Banks were also steadily building up retained earnings, which is another form of capital. The more retained earnings you have, the stronger you are.

When designing interventions, it is important to consider the broad implications to the crisis-fighting effort, even those that are not immediately obvious.

The FHLBs raise funds to lend by issuing debt. Considered agency debt, it is highly desired by investors and carries an implicit government guarantee in the market because the FHLBs are government-sponsored entities (GSEs), quasi-governmental institutions created by Congress for a particular policy purpose.

¹ See Natalie Leonard, "United States: Federal Home Loan Bank Advances, 2007–2009," *Journal of Financial Crises* 4, no. 2 (2022): 1201–21, <https://elischolar.library.yale.edu/journal-of-financial-crises/vol4/iss2/55>.

DelliBovi contrasted the FHLBs with two other GSEs, Fannie Mae and Freddie Mac, two giant entities that sustained the secondary market for housing finance by buying conforming mortgages and issuing mortgage-backed securities, also considered agency debt. The two GSEs were taken into conservatorship by the government in early September 2008. “One of the problems that caused the takeover of Fannie Mae and Freddie Mac,” said DelliBovi, “was they were inadequately capitalized.” He cited the source of this problem in the FIRREA legislation that privatized Freddie and appointed HUD as the new regulator for Freddie and Fannie, which had been a private entity since 1968:

The fatal flaw in the 1989 legislation was that it failed to deal with the issue of prudent regulation for Fannie Mae and Freddie Mac. That didn’t come until 1992 when the Office of Federal Housing Enterprise Oversight [OFHEO] was created.

However, according to DelliBovi, OFHEO was less than effective: “The regulator they designed for themselves in the 1992 OFHEO legislation was a paper tiger. It was a toothless tiger.”

In DelliBovi’s opinion, stronger regulatory oversight of Fannie and Freddie, especially higher capital requirements, might have forestalled their collapse.

The goal should be to never have to bail out an institution that failed. Avoid failures. The way that happens is by having good prudential regulation, real capital standards, and a rigorous system for examining what’s going on in these institutions and making sure that they stay safe and sound. That’s the best protection for the taxpayer, the consumer, for all the stakeholders.

FHLB lending declined as the Federal Reserve implemented numerous liquidity programs to address the burgeoning crisis, but not before the FHLB system was exposed to a significant contagion because of the failure of Fannie Mae and Freddie Mac. As DelliBovi explained, “The interesting thing was that at no point were we not able to issue debt,” but the FHLBs were able to place only shorter maturities, and there was risk that their rates would increase if their debt was viewed as less secure than that of the other GSEs.

We looked for the best terms we could get to manage our balance sheet. The real problem for the Home Loan Banks came in September of 2008 when Freddie Mac and Fannie Mae were put into conservatorship. The government took over two of the housing GSEs. There was no reason why they should take over the Home Loan Banks. They were working fine without the government’s assistance, thank you. The problem or the fear was that the markets, the people who bought the debt of any of these GSEs, would see the government had taken over Fannie and Freddie, but they’re remaining silent about the Home Loan Banks.

There was no problem at the Home Loan Banks. But there would be an implied problem in the marketplace if the government is saying we’re guaranteeing this debt that Fannie and Freddie issue but not mentioning the Home Loan Bank debt. The investor is going to say, Fannie and Freddie have more than an implicit guarantee. They have the specific word of the government, but these Home Loan Banks do not.

So, investors might want to charge more to lend the Home Loans money. Ironically, it might cost the Home Loans more to borrow because they were healthy and not in the government's intensive care unit with the failed Fannie Mae and Freddie Mac.

It meant that the Home Loan Banks as a group had to spend a lot of time working with the government at the highest levels to make sure that nothing done to save and bolster Fannie Mae and Freddie Mac had a negative impact on the Home Loan Banks. We were working very closely to make sure that the Home Loan Banks didn't look like they had problems, were in danger, or [were] a stepchild compared to the two GSEs that were in the doghouse.

DelliBovi explained that it took a lot of meetings and phone calls and conferences to convince government officials, who were focused on the failing mortgage giants, to address the issue. To make sure that inadvertently the FHLBs' access to the credit markets was not disrupted, government officials agreed to include the FHLB in notices of its purchases of agency debt.

Dated: October 4, 2024

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